

HR Attrition Analysis Report

Employee Turnover Patterns | 2024

Business Problem

The organization is experiencing employee turnover and requires a data-driven understanding of the patterns and factors driving attrition across departments, demographics, and working conditions.

Objective

To determine which employees are leaving and which departments are most affected, in order to support data-driven HR retention decisions.

Business Questions

- What is the company's overall attrition rate, and which department has the highest and lowest attrition?
- How do employee demographics (age group, marital status, job level) relate to attrition?
- How do work conditions (business travel, work-life balance, environment satisfaction) influence attrition?
- How does department performance and satisfaction correlate with attrition rate?

Data Insights

Question 1: Overall Attrition Rate & Department Analysis

The company recorded an overall attrition rate of 16%. The Sales department had the highest attrition rate at 21%, driven by high workload pressure and demanding targets. The Research and Development department recorded the lowest attrition rate at 14%, reflecting a more stable and specialised workforce.

Question 2: Employee Demographics & Attrition

Entry-level employees recorded the highest attrition rate across all age groups. The breakdown by age group is as follows:

- 18–25: 38% — highest attrition, driven by limited career growth opportunities
- 26–35: 20% — mid-career employees transitioning roles
- 36–45: 10% — most stable age group
- 46–55: 13% — moderately at risk
- 55+: 23% — near-retirement employees facing high job demands

This suggests that younger and near-retirement employees are most at risk of leaving the organisation.

Question 3: Work Conditions & Attrition

Working conditions significantly influence the attrition rate. The following patterns were observed:

For Non-Travel Employees:

- Employees unsatisfied with their environment and a bad work-life balance recorded an attrition rate of 100%.

For Frequently Travelling Employees:

- Employees with neutral environment satisfaction and the best work-life balance recorded an attrition rate of 66.67%.
- Employees unsatisfied with their environment and a bad work-life balance recorded an attrition rate of 66.67%.
- Employees very satisfied with their environment but with a bad work-life balance recorded an attrition rate of 50%.
- Employees satisfied with their environment but with a bad work-life balance recorded an attrition rate of 46.15%.

For Rarely Travelling Employees:

- Employees neutral with their environment and a bad work-life balance recorded an attrition rate of 20%.
- Satisfied employees with a bad work-life balance recorded an attrition rate of 21.43%.
- Employees with the best work-life balance but unsatisfied with their environment recorded an attrition rate of 39.13%.
- Employees very satisfied with their environment but with a bad work-life balance recorded an attrition rate of 36.84%.

In conclusion, working conditions significantly influence the attrition rate. Employees with poor work-life balance and low environmental satisfaction recorded the highest attrition rates regardless of travel frequency. This suggests that improving workplace conditions could be a key strategy for reducing employee turnover.

Question 4: Department Performance, Satisfaction & Attrition

Department performance and job satisfaction were found to be significantly correlated with the attrition rate. The following patterns were observed across departments:

- Human Resources: Employees with outstanding performance but low job satisfaction recorded the highest attrition rate of 50%.
- Sales: Outstanding performers with low job satisfaction experienced a 33.33% attrition rate.
- Research & Development: Outstanding performers with low job satisfaction recorded an attrition rate of 32.35%.

This reveals that across all departments, high-performing employees who feel unfulfilled in their roles are most likely to leave the organisation, confirming a significant relationship between performance, satisfaction, and attrition.

Recommendation

- Improve work-life balance and environment satisfaction, particularly in the Sales department and for entry-level employees who are most at risk.
- Invest in career development programmes for entry-level employees aged 18–25 to address lack of growth opportunities.
- Create job enrichment and recognition programmes for outstanding performers with low job satisfaction to retain high-value talent.
- Conduct targeted HR interventions in the Sales department to address high attrition driven by workload and low satisfaction.
- Review working conditions for employees aged 55+ to ensure job demands align with their capacity and experience